

The Political Economy of East Asia

(BPEP-SHU 9042)

Monday & Wednesday
3:45 pm – 5:00 pm
Room N202

Instructor: JING QIAN



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Logistics

- Group Office Hour before Friday, April 3 (Spring Break to follow)
- Sample topics for group project: <https://jingqian.org/PEEAclass/topics>
- Guest lectures begin this Wednesday
 - <https://jingqian.org/icpess/>

NYU Shanghai International and Comparative Political Economy Speaker Series

The Facts and Economic Impacts of the — US-China Trade War —

Wednesday, February 25

Time: 3:45–5:00 PM

📍 Location: N208, NYU Shanghai



Introduction

In 2018, the United States launched a trade war against China, marking a sharp departure from decades of deepening economic integration and globalization. On April 2, 2025, trade conflict escalated into a broader global trade war. This mini-lecture reviews the key developments in the China-US and the global trade war, and examines what modern economic research tells us about trade wars.

Dr. Sifan Xue is an Assistant Professor of Economics at the National School of Development of Peking University. Dr. Xue obtained his PhD in Economics from Princeton University in 2024. Dr. Xue's research interests are in international trade and macroeconomics.

Sifan Xue
Assistant Professor
Peking University
National School of
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Host by Jing Qian,
Assistant Professor of Political Science, NYU Shanghai

For inquiries, contact jingqian@nyu.edu



Register
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- **ROOM CHANGE: N208**
- Readings posted
- Attendance required

NYU Shanghai International and Comparative Political Economy Speaker Series



February 25

Sifan Xue

Peking University,
National School of Development



March 11

Jianzi He

Duke Kunshan University



March 30

Jie Huang

Nanjing University,
School of Government



April 29

Jieun Kim

Seoul National University

March 4
Zeren Li

National University of Singapore,
Lee Kuan Yew School of Public Policy



March 16
Sayumi Miyano

Osaka University,
Osaka School of International Public Policy



April 22
Chen Xiang

Shanghai Jiao Tong University,
School of International and Public Affairs



Time: 3:45–5:00 PM
Room TBA , NYU Shanghai

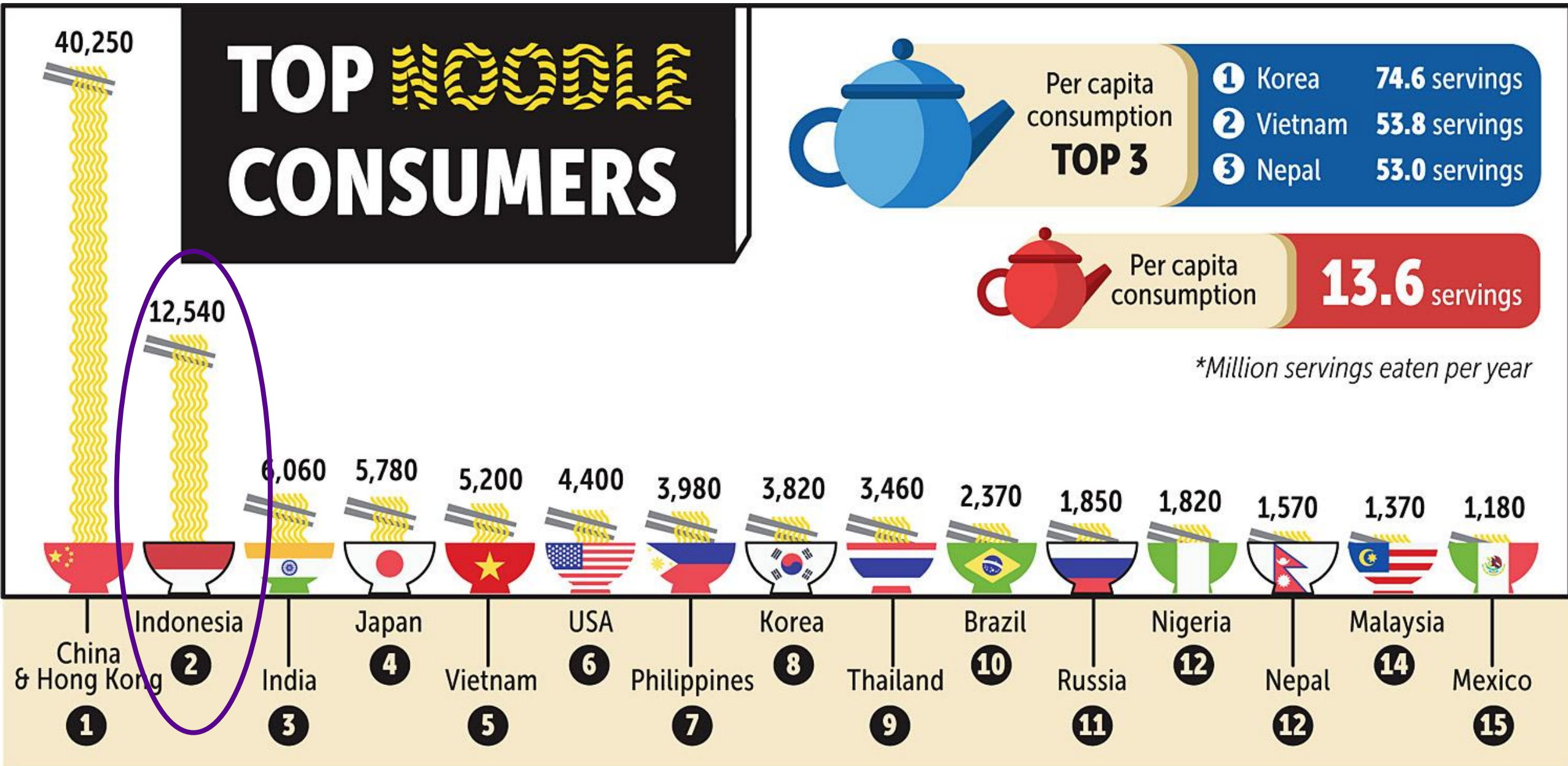
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For More
Information

Let's continue





Source: World Instant Noodles Association (WINA)

BANGKOK POST GRAPHICS

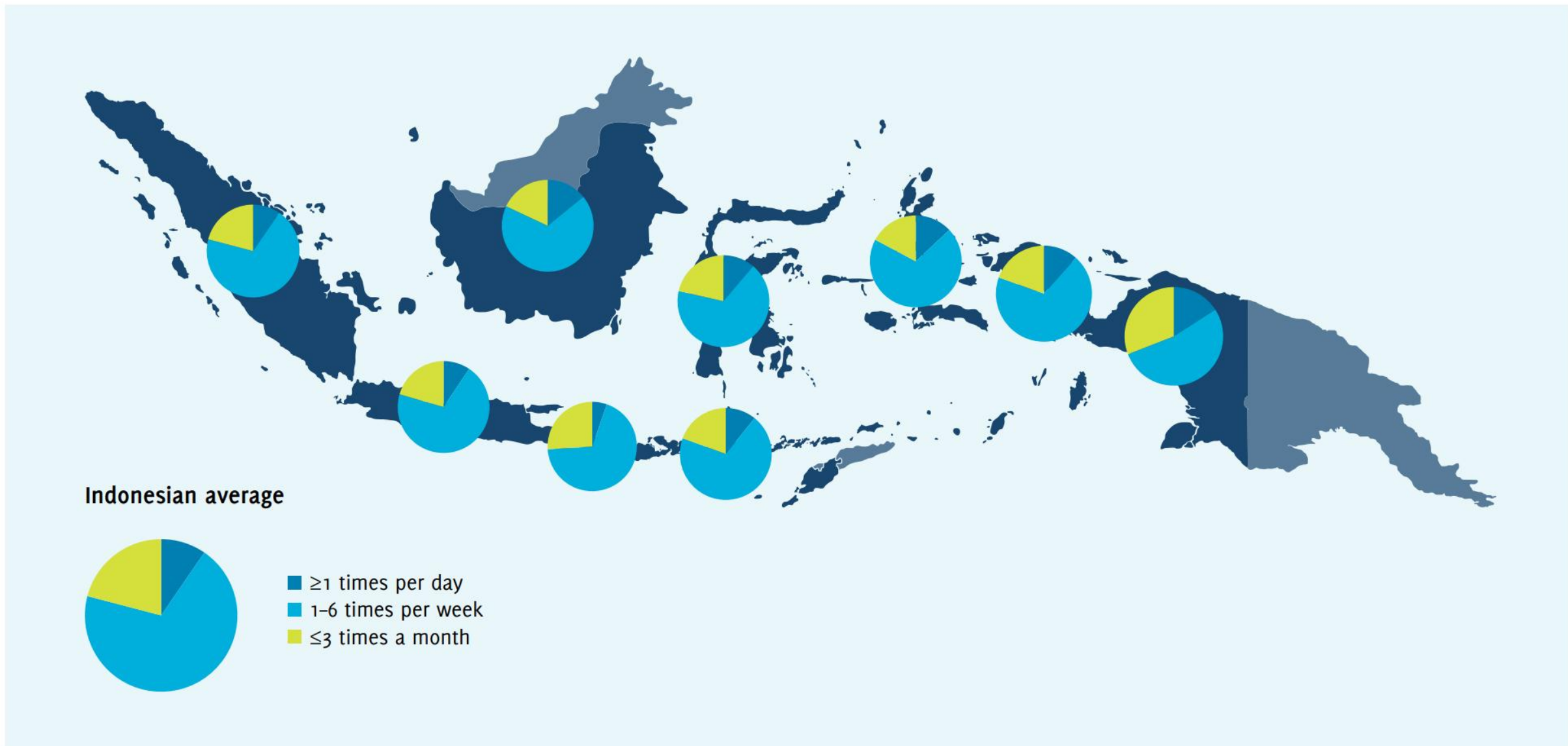
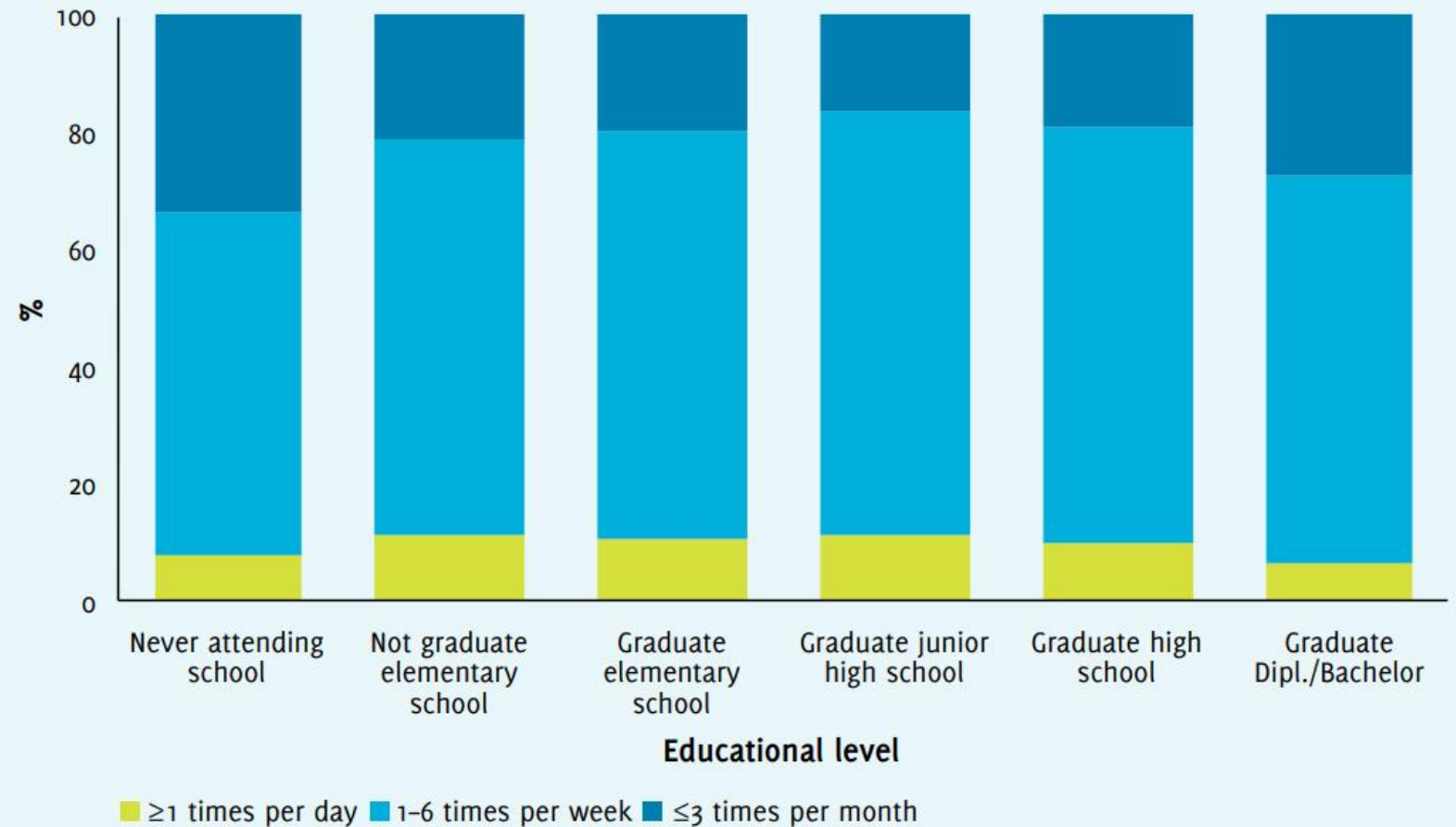


Figure 16
Incidence of instant noodle consumption by location in Indonesia

Source: BPS (2014)

Figure 13
Frequency of instant noodle consumption by age and educational level

Source: Based on data abstracted from household survey data available at <http://labmandat.litbang.depkes.go.id/riset-badan-litbangkes/menu-risikesnas/menu-risikesdas/374-rkd-2013>



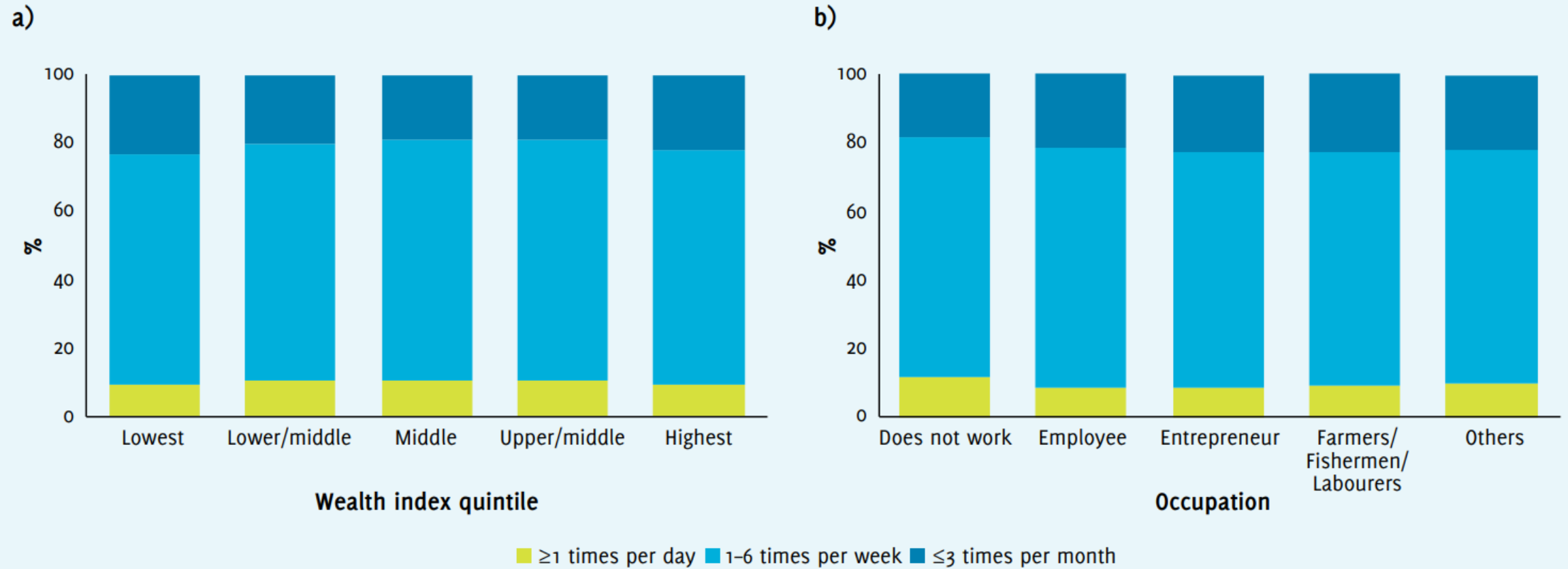
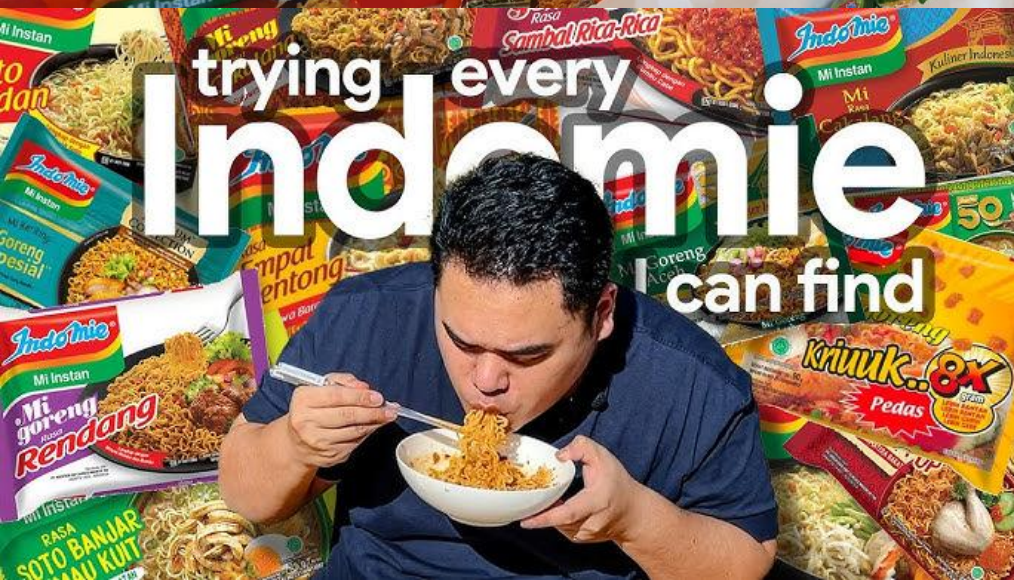


Figure 14

Incidence of instant noodle consumption by (a) wealth quintile and (b) occupation

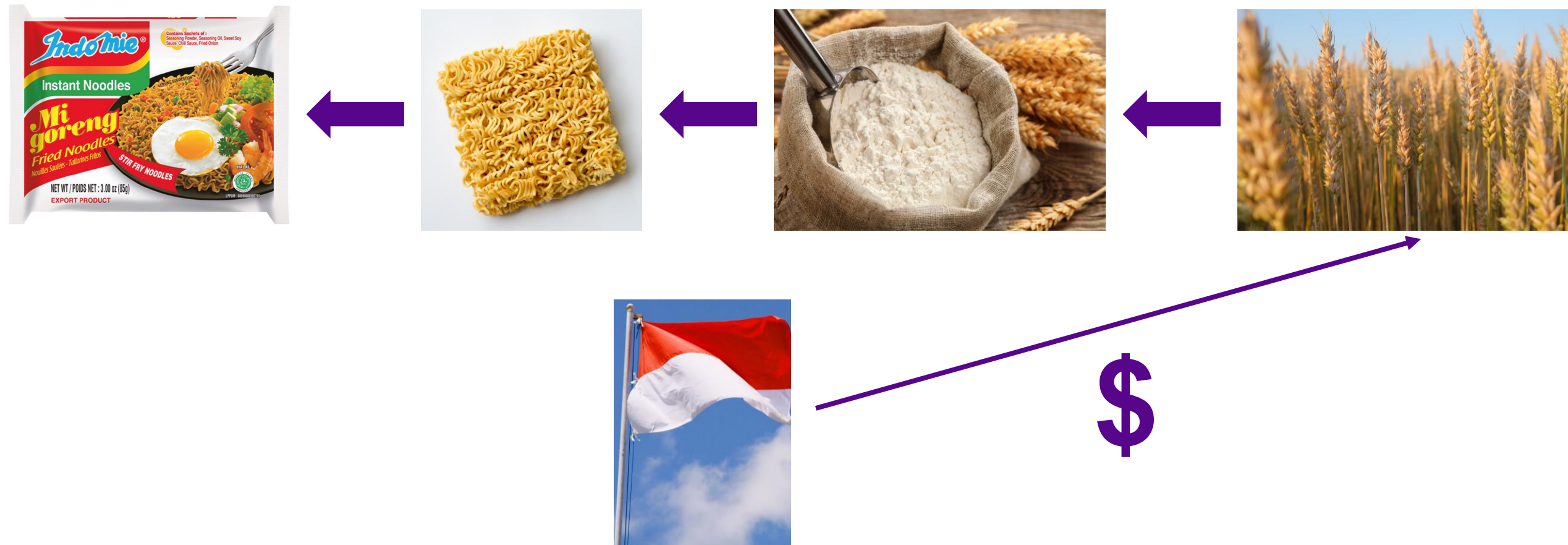
Source: Based on data abstracted from household survey data available at <http://labmandat.litbang.depkes.go.id/riset-badan-litbangkes/menu-risikesnas/menu-risikesdas/374-rkd-2013>





Flavorful Every Bite

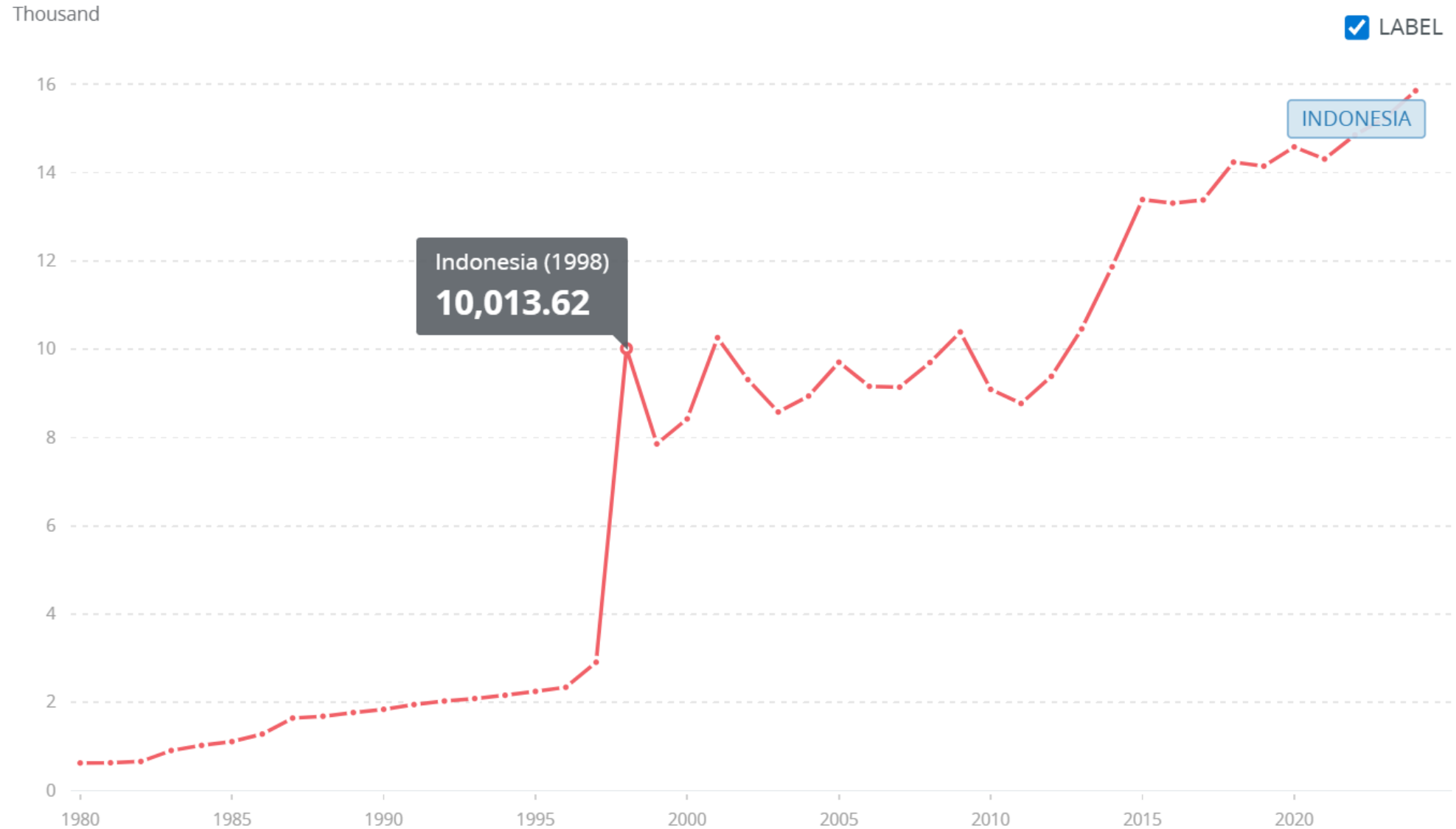
- Balanced Sweet & Spice
- Crunchy Texture & Soft Core
- Great as Meal or Snack

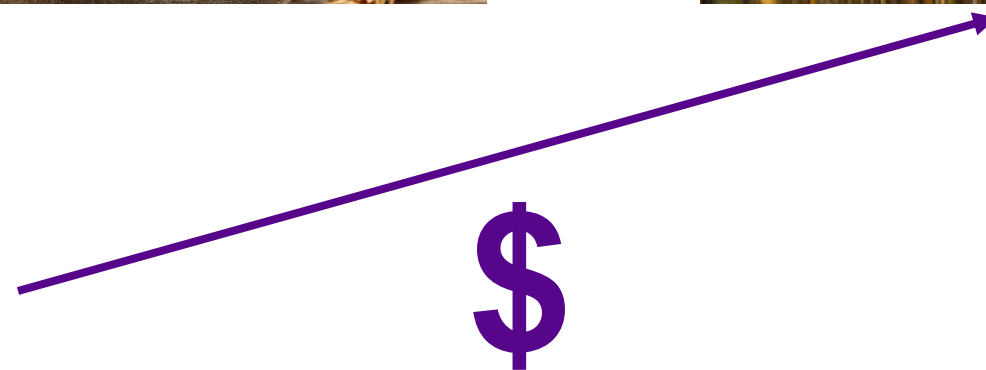


USD / Indonesian Rupiah Exchange Rate

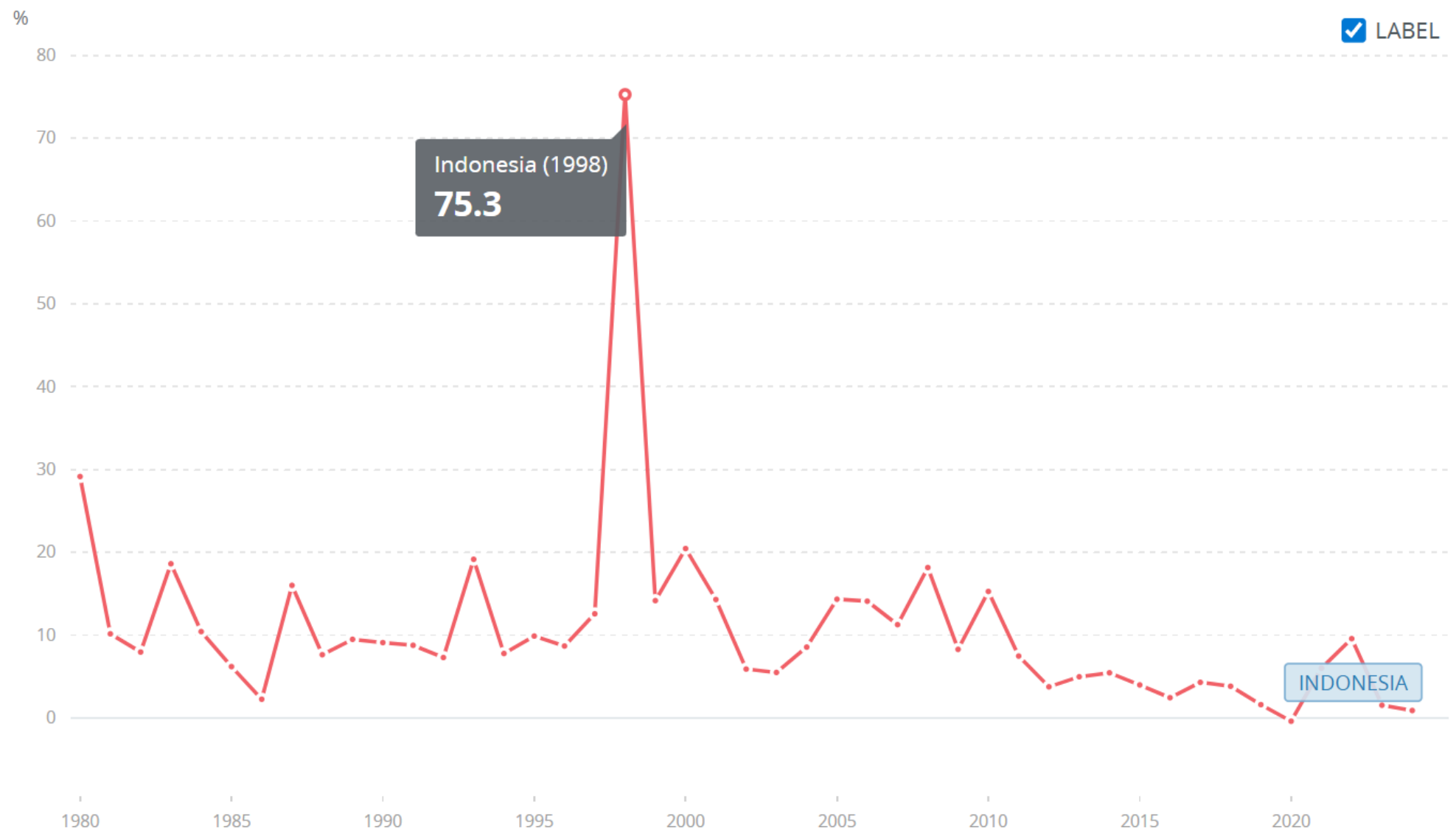


IDR to USD



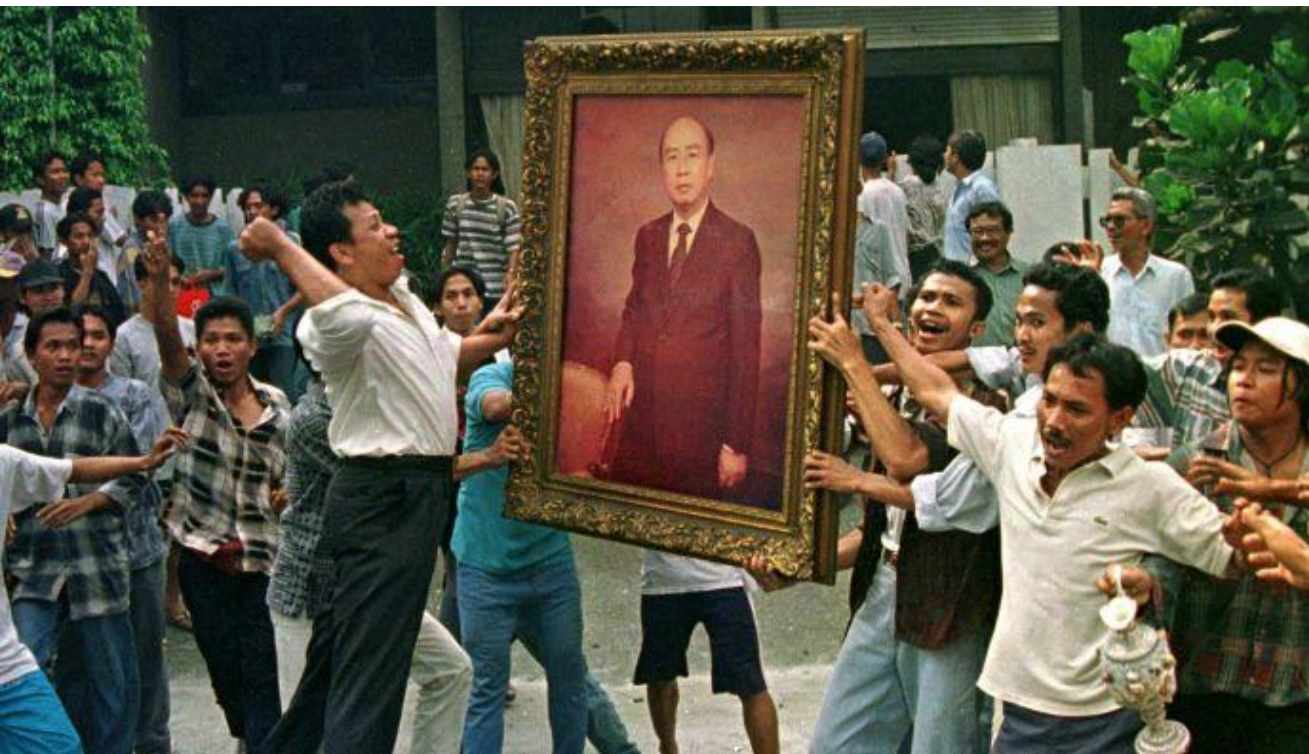


Inflation Rate in Indonesia



May 1998 Indonesia Riots





The Asian Financial Crisis

The Capital Flow Boom

- 1990s: East Asian economies became major recipients of capital
- Capital inflows fueled by:
 - Financial liberalization in developing countries.
 - Low interest rates in advanced economies.
 - Investor confidence in East Asian “economic miracles.”
- Dominated by “hot money” with high volatility
 - Short-term loans, bonds and stocks, etc.

Financial Liberalization in Asia (Early 1990s)

- Key countries: Thailand, Indonesia, South Korea, Malaysia
- Rapid liberalization of financial markets
- Domestic banks and firms gained easier access to international capital
- Rise of **financial intermediation** by local banks
 - Borrowed cheaply from international lenders
 - Lent at higher rates to domestic borrowers

Financial Mediation – The Risks

- **Currency Mismatch**

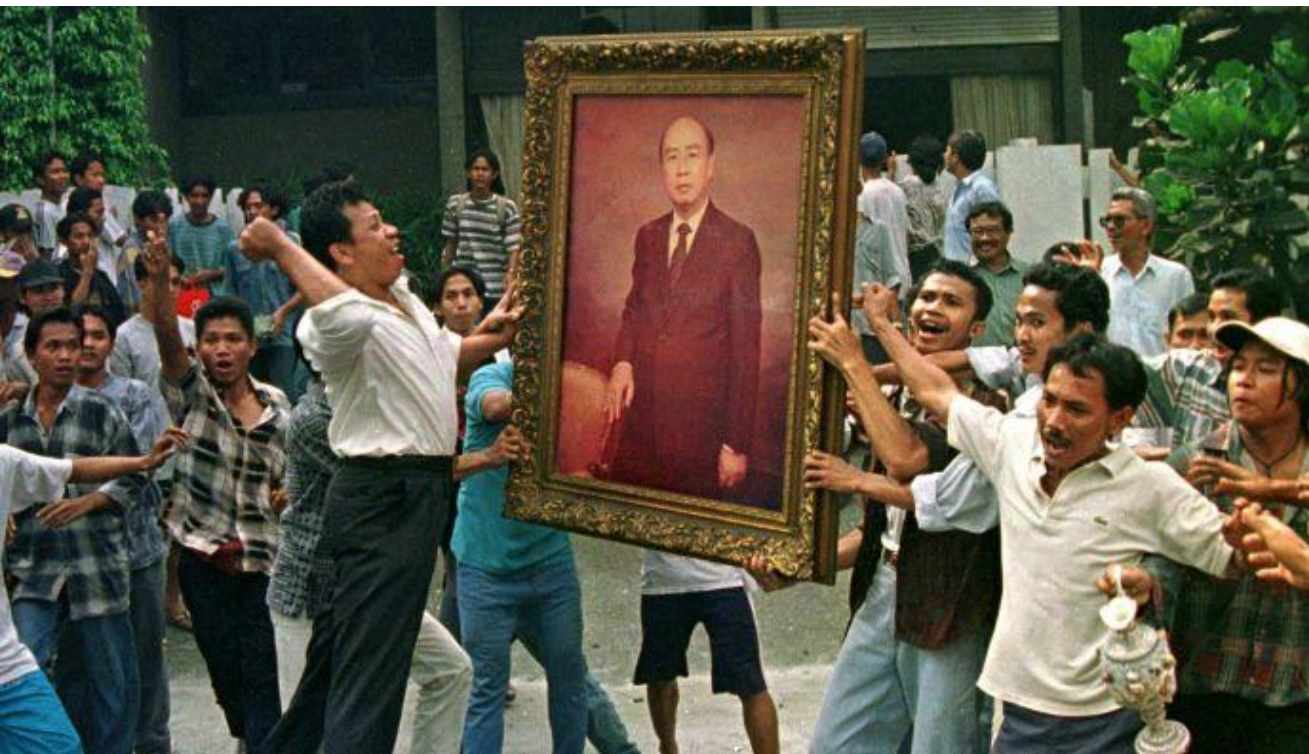
- Borrowed in USD
- Lent in local currencies
- Devaluation → Foreign debt burden surges

- **Maturity Mismatch**

- Short-term borrowing
- Long-term lending
- Lose of investor confidence → Inability to roll over debt

Moral Hazard

- Bailout expectations → Excessive risk-taking by banks
 - Little incentive to screen loans carefully
 - Increases system-wide vulnerability
- Political connections undermined market discipline
 - State-owned banks
 - Institutions controlled by allies of President Suharto (Indonesia)



?



Resignation of Suharto





Sudono Salim (Lim Sioe Liong)
(1916 – 2012)

“The Noodle King”

- Salim as Suharto's closest “crony”
- BULOG (bureau of logistics) as the sole importer of wheat
 - Sold directly to Salim at subsidized, non-market rates
- Monopoly to mill wheat through Bogasari
- Bank Central Asia (BCA) as the de facto treasury for the regime's elite

RICHARD BORSUK • NANCY CHNG

Liem Sioe Liong's Salim Group

*The Business Pillar
of Suharto's Indonesia*



Moral Hazard

- Bailout expectations → Excessive risk-taking by banks
 - Little incentive to screen loans carefully
 - Increases system-wide vulnerability
- Political connections undermined market discipline
 - State-owned banks
 - Institutions controlled by allies of President Suharto (Indonesia)
 - Repeat bailouts (e.g., Bangkok Bank of Commerce, Bank Duta)
- Weak regulation & enforcement
 - Rules existed, but often not enforced
 - Regulators removed or pressured (e.g., Indonesia's central bank governor)

Crisis Breakout

- Yen appreciation → harder for Asian exporters to sell to Japan
 - → Debt-service burden rise

Appreciation of Yen to USD



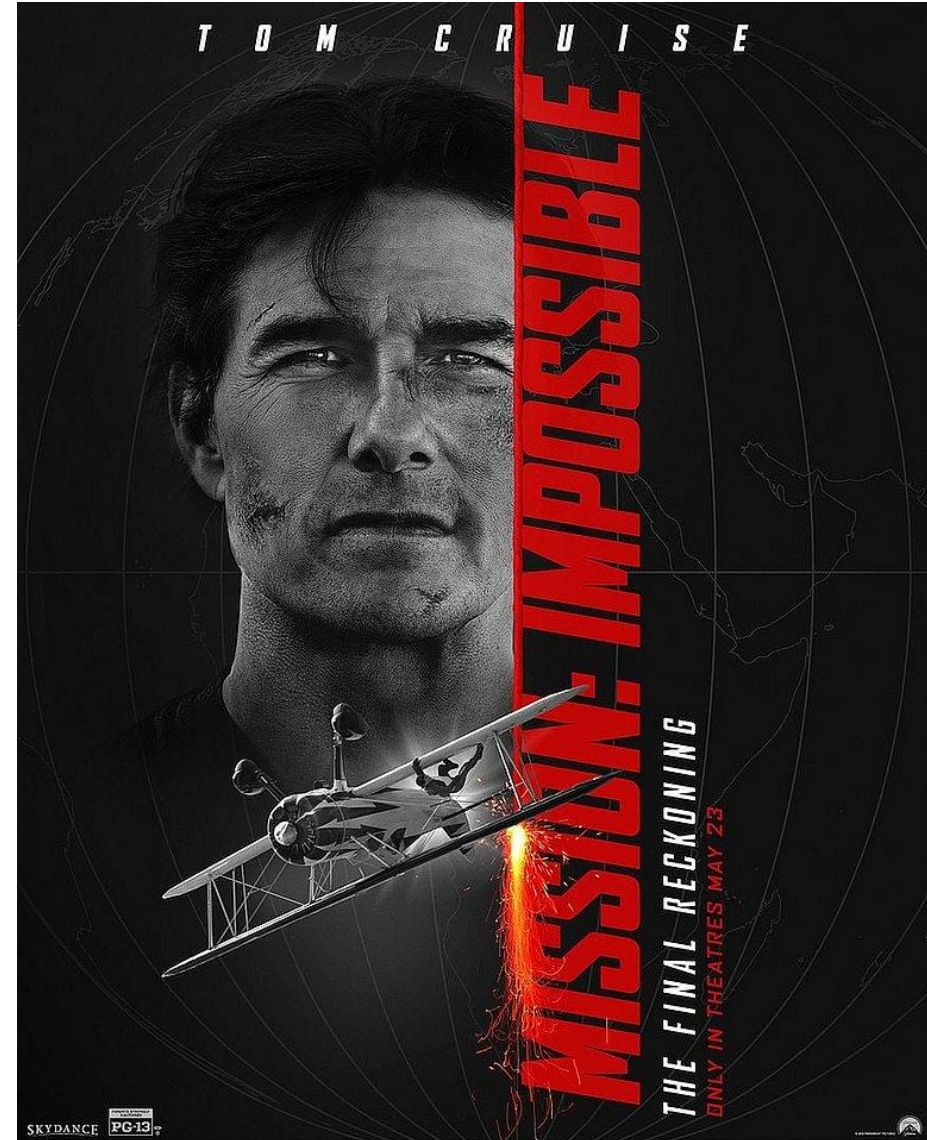
Crisis Breakout

- Yen appreciation → harder for Asian exporters to sell to Japan
 - → Debt-service burden rise
- Real-estate bubble bursts
 - Domestic borrowers struggle to repay loans
 - Domestic banks struggle to repay foreign creditors
- May 1997: Collapse of Thai firm *Finance One* triggers investor panic
- Foreign banks refuse to renew loans, triggering capital flight.
- July 1997: Thailand floats the baht after reserve depletion.
- Panic spreads → capital exits across Asia.

Floating Currencies

- Fixed exchange rates became unsustainable
 - Investor panic → mounting pressure on currency pegs
- Reserves drained defending pegs
 - Central banks sold USD to defend currency → reserves depleted
- Dollar-denominated debt became harder to repay
 - Pegs worsened debt burden as domestic currencies weakened
- Floating restored policy control
 - Allowed interest rate cuts and ended reserve drain
- Floating XR: Thailand, Philippines, Indonesia, Malaysia, Taiwan, etc.

With crisis, here comes the IMF



With crisis, here comes the IMF



IMF Response to the Crisis

- IMF Bailout packages
 - Philippines (\$1.1 billion); Thailand (\$16 billion); Indonesia (\$23 billion); South Korea (\$57 billion)
- **Conditionality (Structural Adjustment)**
 - Macroeconomic stabilization
 - Tight monetary and fiscal policy to curb inflation
 - Financial sector reform
 - Close insolvent banks and improve regulation
 - Structural reform
 - Liberalize trade and investment, reduce state intervention

IMF Response: The Fallout

- Consequences of IMF packages
 - Sharp economic contractions across Asia
 - Rising unemployment and poverty
 - Political instability
 - Suharto resigns in Indonesia
 - Mass protests in Thailand
- The Lesson



Images from **South Korea** during the East Asian Financial Crisis



Annual growth of GDP per capita, 1995 to 2000

Annual percentage growth rate of GDP per capita based on constant local currency. Aggregates are based on constant 2010 U.S. dollars.



What caused the Asian Financial Crisis?

- The development model of East Asian economies
 - Excessive government intervention
 - Crony (i.e., corrupted) government-business relationship
- A wrong path of financial deregulation
 - A proper sequence of financial liberalization
- Risk of global financial market
 - Speculative currency attack
 - Panic (i.e., irrational) market behavior
- Or, an IMF/US plot to weaken East Asia...?

Crisis Diagnosis and Post-Crisis Responses

- If the crisis were caused by the **Asian development model** or by **bad planning**, the best response should be **neoliberal reforms** (institutional restructuring, market deregulation)
 - Northeast Asian economies: South Korea, China and Japan
 - Restructuring the relationship among the government, labor and business
- If the crisis were caused by **global financial market** or exacerbated by **IMF conditionality**, the best response should be **government bailout** and a **new economic defense mechanism**
 - Southeast Asian economies: Thailand, Indonesia and Malaysia
 - The government-local business relationship strengthened

Annual growth of GDP per capita, 1995 to 2000

Annual percentage growth rate of GDP per capita based on constant local currency. Aggregates are based on constant 2010 U.S. dollars.



Line

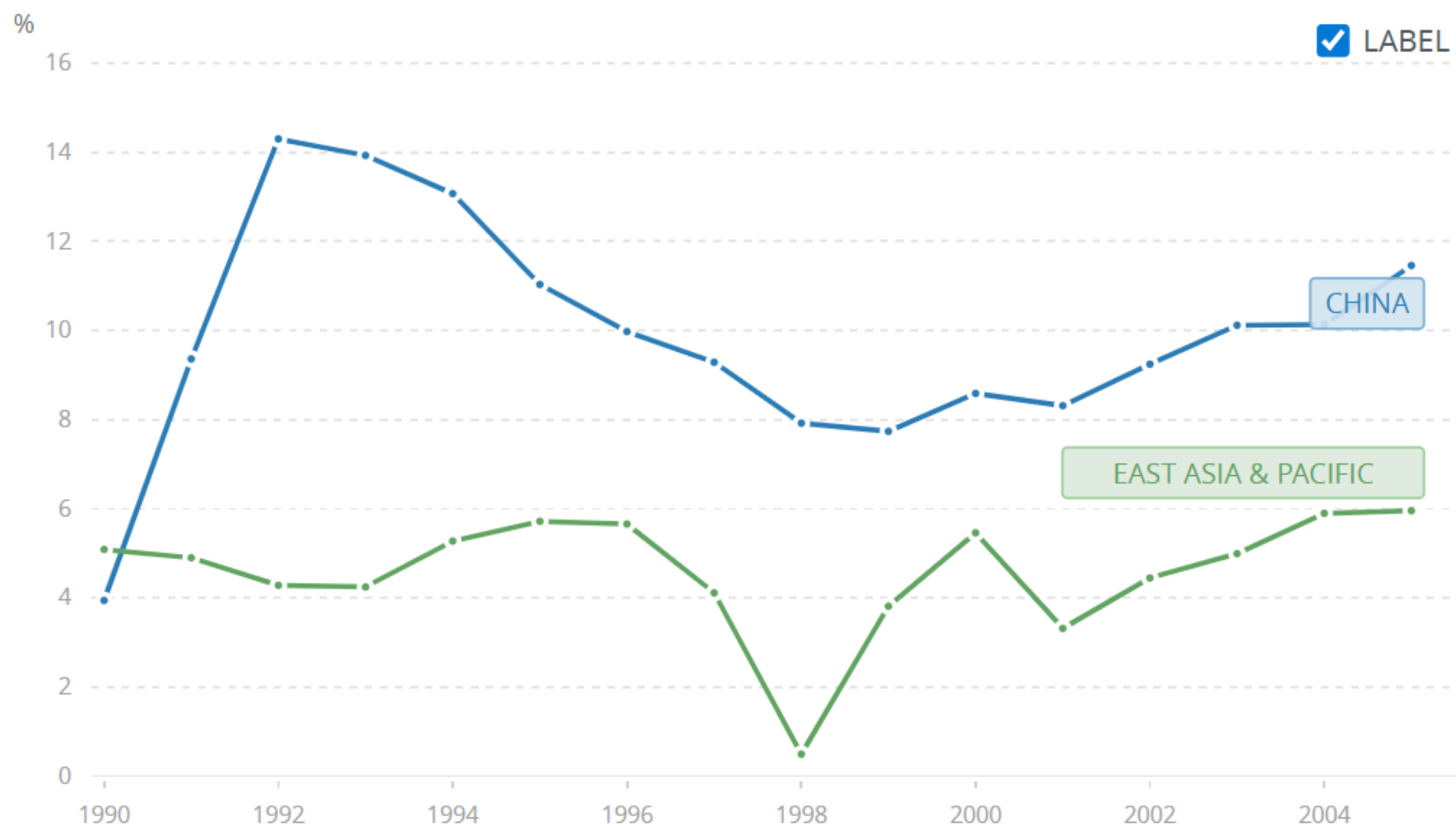
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Map

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1990 - 2005

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China largely escaped the crisis

- Large holding of foreign exchange reserves
- Capital control and non-convertible RMB
- Low, short-term foreign debt
 - Inward foreign direct investment (FDI) in fixed assets rather than portfolio investments
- State-led financial system
- ...

4



The Rise of China

- Economic planning and state-owned enterprises (SOEs)
- Reform and Opening Up, Special Economic Zones (SEZs)
- Export-oriented manufacturing and WTO accession
- Foreign direct investment (FDI)
- ...





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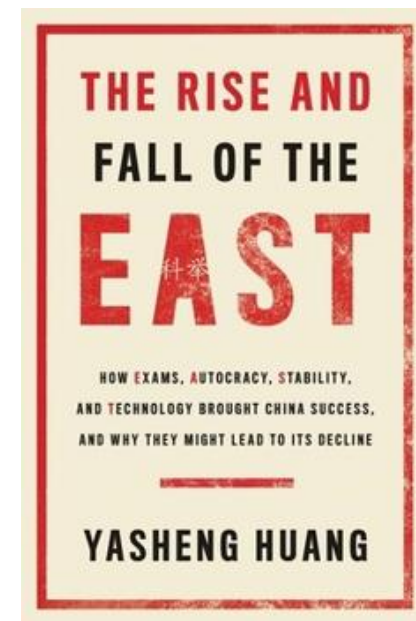
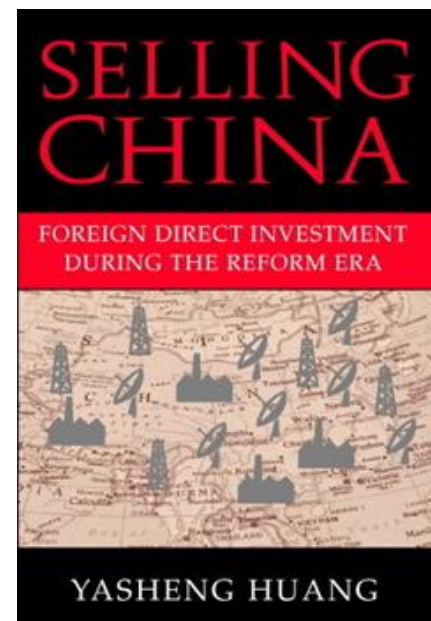
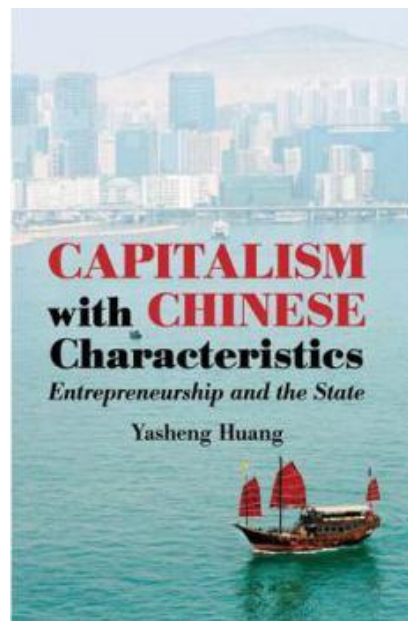
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Yasheng Huang (黄亚生)

MIT Sloan School of Management



Thank You!

